Guide for Wise Investing

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Contents

About the author

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Part I

Part I

Chapter 1

Buffett's wisdom[1]

Figure 1.1: Warren Buffet, CEO of Berkshire Hathaway

[1]The quotes are picked from https://www.fool.com/investing/best-warren-buffett-quotes.aspx and reorganized.

1.1 Rule No. 1

- "Rule No. 1 is never lose money. Rule No. 2 is never forget Rule No. 1."

1.2 Value investing

- "Price is what you pay. Value is what you get."
- "It's far better to buy a wonderful company at a fair price than a fair company at a wonderful price."
- "The key to investing is not assessing how much an industry is going to affect society, or how much it will grow, but rather determining the competitive advantage of any given company and, above all, the durability of that advantage."
- "Buy into a company because you want to own it, not because you want the stock to go up."
- "Buy a stock the way you would buy a house. Understand and like it such that you'd be content to own it in the absence of any market."

1.3 Investing for the long term

- "Someone's sitting in the shade today because someone planted a tree a long time ago."
- "If you aren't willing to own a stock for ten years, don't even think about owning it for ten minutes."
- "All there is to investing is picking good stocks at good times and staying with them as long as they remain good companies."
- "Do not take yearly results too seriously. Instead, focus on four or five-year averages."

1.4 Dealing with losing investments

- "The most important thing to do if you find yourself in a hole is to stop digging."

1.5 Right mindset for investing

- "We simply attempt to be fearful when others are greedy and to be greedy only when others are fearful."
- "The most important quality for an investor is temperament, not intellect. You need a temperament that neither derives great pleasure from being with the crowd or against the crowd."
- "It is not necessary to do extraordinary things to get extraordinary results."
- "The difference between successful people and really successful people is that really successful people say no to almost everything."

1.6 Market crashes and recessions

- "In the 20th century, the United States endured two world wars and other traumatic and expensive military conflicts; the Depression; a dozen or so recessions and financial panics; oil shocks; a flu epidemic; and the resignation of a disgraced president. Yet the Dow rose from 66 to 11,497."
- "Only when the tide goes out do you discover who's been swimming naked."
- "Predicting rain doesn't count, building the ark does."

1.7 Importance of learning

- "Read 500 pages like this every day. That's how knowledge works. It builds up, like compound interest. All of you can do it, but I guarantee not many of you will do it."
- "Never invest in a business you cannot understand."
- "Risk comes from not knowing what you're doing."

1.8 Ignoring market noise

- "You are neither right nor wrong because the crowd disagrees with you. You are right because your data and reasoning are right."
- "We've long felt that the only value of stock forecasters is to make fortune tellers look good. Even now, Charlie and I continue to believe that short-term market forecasts are poison and should be kept locked up in a safe

place, away from children and also from grown-ups who behave in the market like children."

- "Don't get caught up with what other people are doing. Being a contrarian isn't the key but being a crowd follower isn't either. You need to detach yourself emotionally."

1.9 Indes funds

- "Among the various propositions offered to you, if you invested in a very low cost index fund – where you don't put the money in at one time, but average in over 10 years – you'll do better than 90% of people who start investing at the same time."
- "Just pick a broad index like the S&P 500. Don't put your money in all at once; do it over a period of time."

Part II

Part II

Chapter 2

Business evaluation

2.1 Comprehensive financials[1]

Search:

Name	Currency	Industry	Country	Broad group	Marketcap	Price	Closeyest	Ch
Airbus SE	EUR	Aerospace/Defense	Netherlands	Developed Europe	66.8B	85.27	88.83	-4.(
Boeing Co	USD	Aerospace/Defense	United States	United States	116.2B	205.84	207.41	-0.7
Hyundai Motor Co	KRW	Auto & Truck	South Korea	Emerging Markets	63.2T	260,000.00	257,000.00	1.1
Tesla Inc	USD	Auto & Truck	United States	United States	802.5B	846.64	844.99	0.2
LG Chem Ltd	KRW	Chemical (Basic)	South Korea	Emerging Markets	69.9T	990,000.00	975,000.00	1.5
Samsung SDS Co Ltd	KRW	Computer Services	South Korea	Emerging Markets	16.1T	207,500.00	202,000.00	2.7
Apple Inc	USD	Computers/Peripherals	United States	United States	2.3T	139.07	136.87	1.6
Dell Technologies Inc	USD	Computers/Peripherals	United States	United States	56.9B	75.94	76.90	-1.2
Logitech International SA	USD	Computers/Peripherals	Switzerland	Developed Europe	16.2B	104.20	104.93	-0.7
Samsung Electronics Co Ltd	KRW	Computers/Peripherals	South Korea	Emerging Markets	599.5T	89,400.00	86,800.00	3%
Hyundai Mipo Dockyard Co., Ltd.	KRW	Construction Supplies	South Korea	Emerging Markets	1.9T	48,400.00	47,900.00	1.0
Korea Shipbuilding &Offshore Engn Co Ltd	KRW	Construction Supplies	South Korea	Emerging Markets	7.7T	109,000.00	105,000.00	3.8
Celltrion, Inc.	KRW	Drugs (Biotechnology)	South Korea	Emerging Markets	43.3T	321,000.00	310,000.00	3.5

Showing 1 to 50 of 50 entries

Adjusted Graham formula: as defined here

[1] Data are from Google Finance and Yahoo Finance.

BVPS: book value per share
DCF10: discounted cash flow in 10 years as defined here
EPS: earnings per share
High52: 52-week high price
Industry PER: data from here
Low52: 52-week low price
PBR: price/book value ratio
PEG: price/earnings-to-growth ratio
PER: price/earnings ratio
PSR: price/sales ratio
ROA: return on asset
ROE: return on equity
Sustainable growth rate: ROE $\times$ retention ratio

2.2 Key financials

2.3 Investing decision[2]

2.4 Stock price trend[3]

2.5 Stock price correlation

Industry sector classification is based on data from here.

[2]The value of a company in its early stage of development with zero or negative earnings cannot be determined based on its financials, but rather should be based on the subject matter knowledge about its mission, technologies, management and culture, as well as the industry overall.

[3]All prices are normalized to 100 as of 2020-09-21.

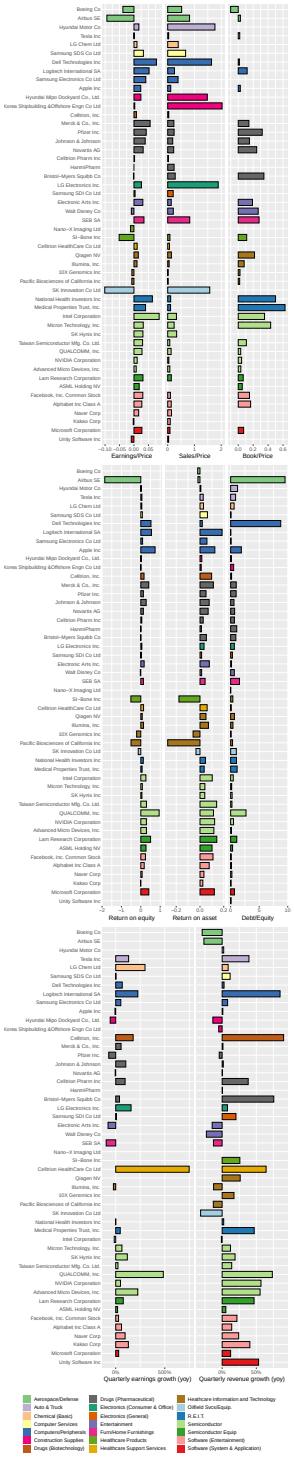

Figure 2.1: Key financials of my watchlist

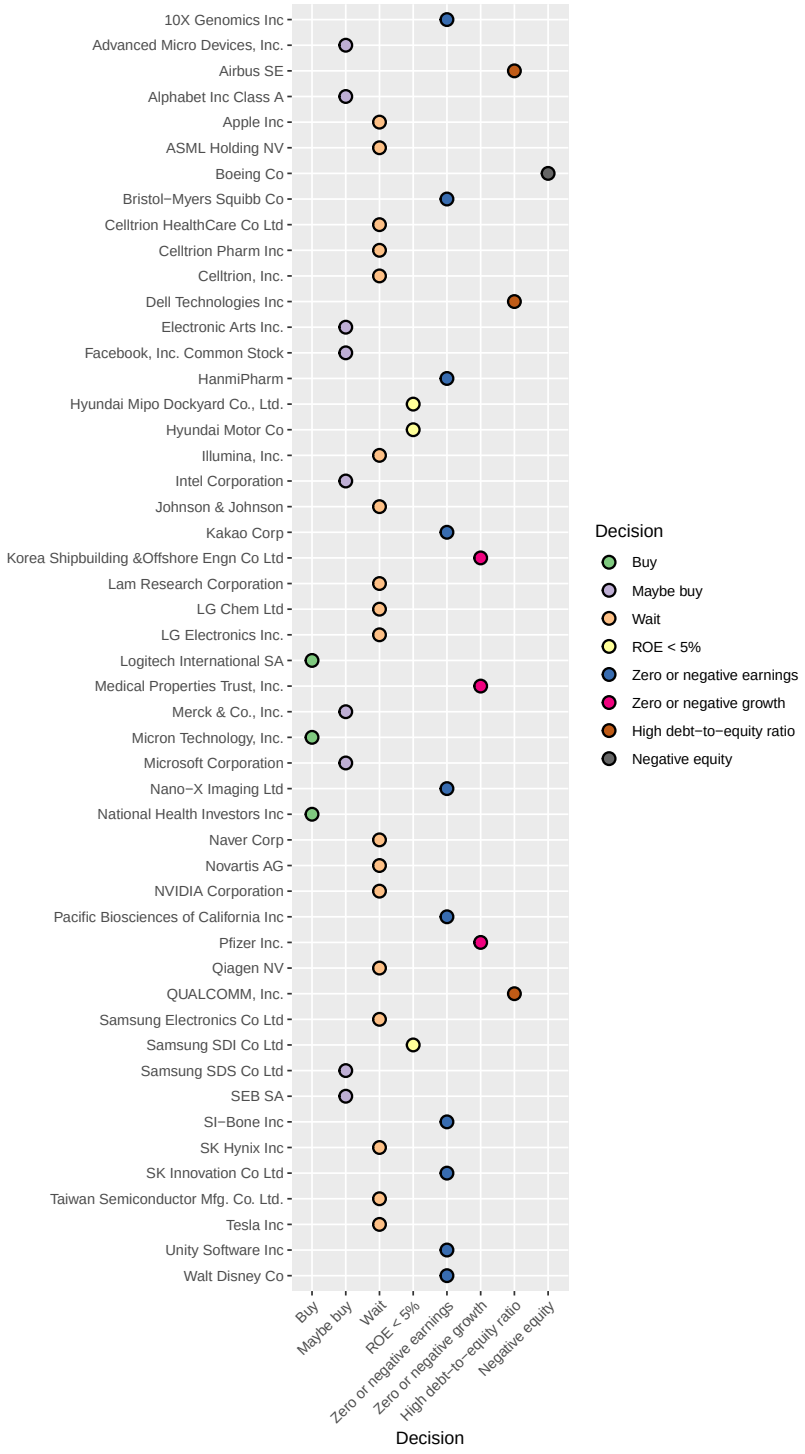

Figure 2.2: Investing decision made by a fundamental analysis-based algorithm for listed companies

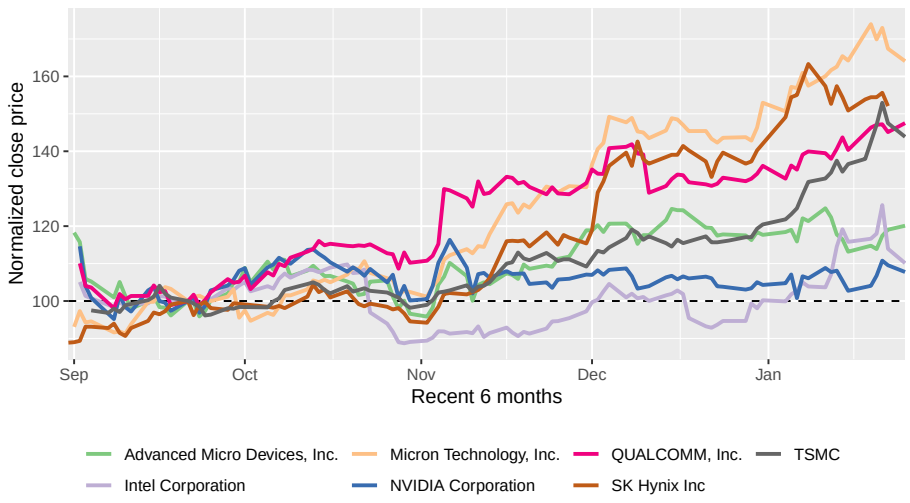

Figure 2.3: Semiconductor

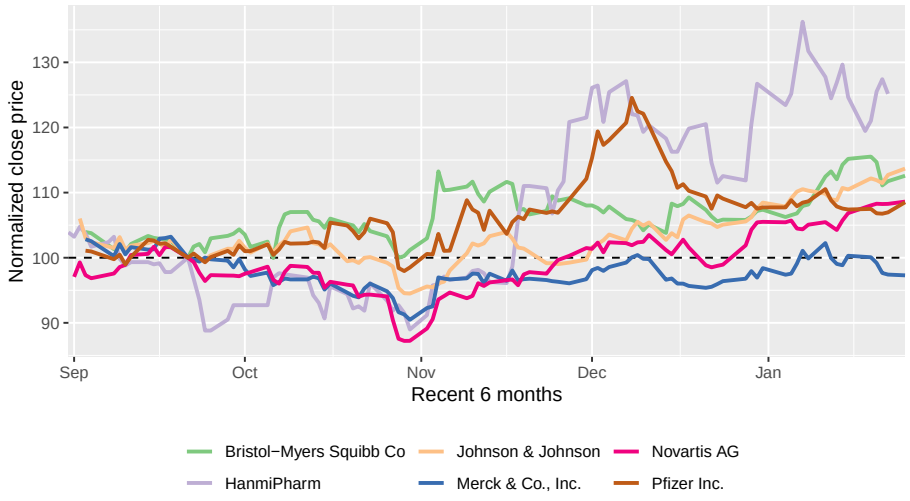

Figure 2.4: Drugs (Pharmaceutical)

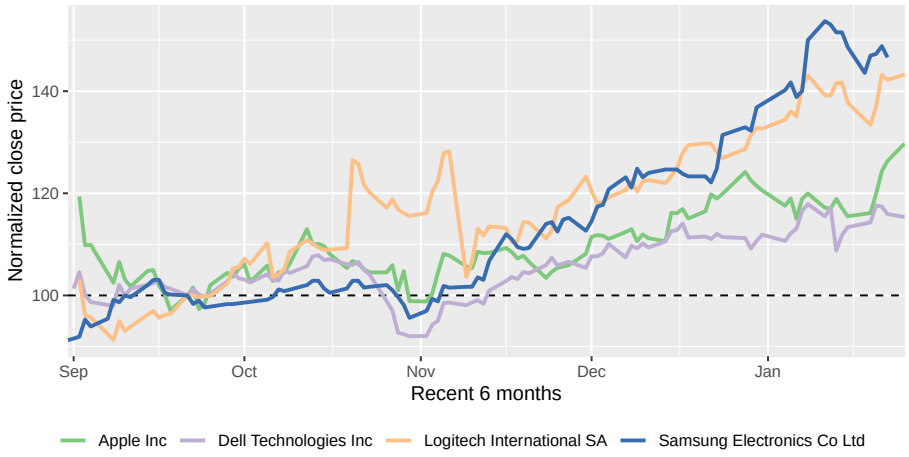

Figure 2.5: Computers/Peripherals

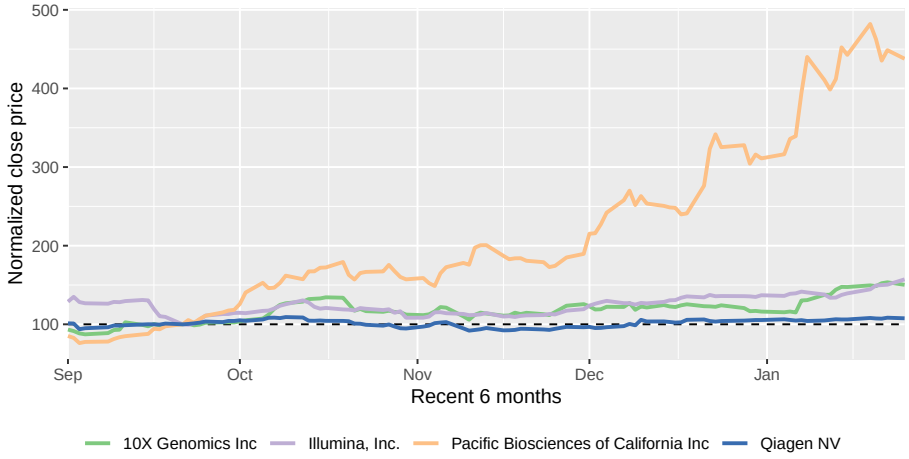

Figure 2.6: Heathcare Information and Technology

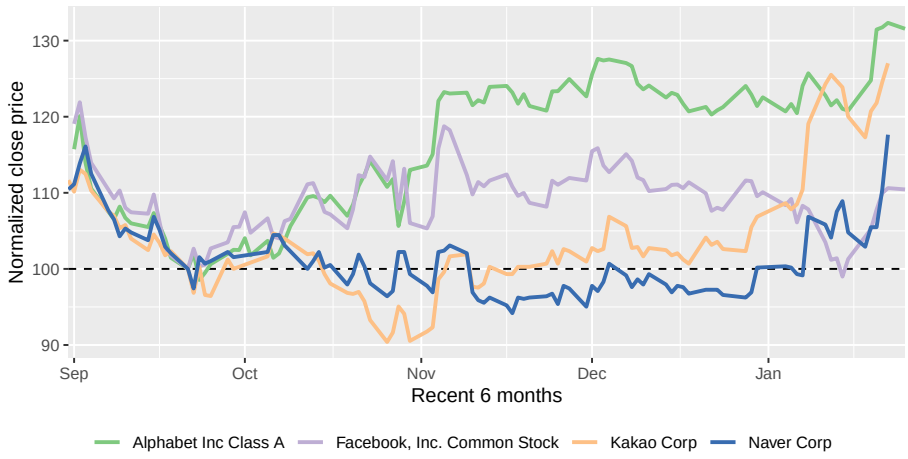

Figure 2.7: Software (Entertainment)

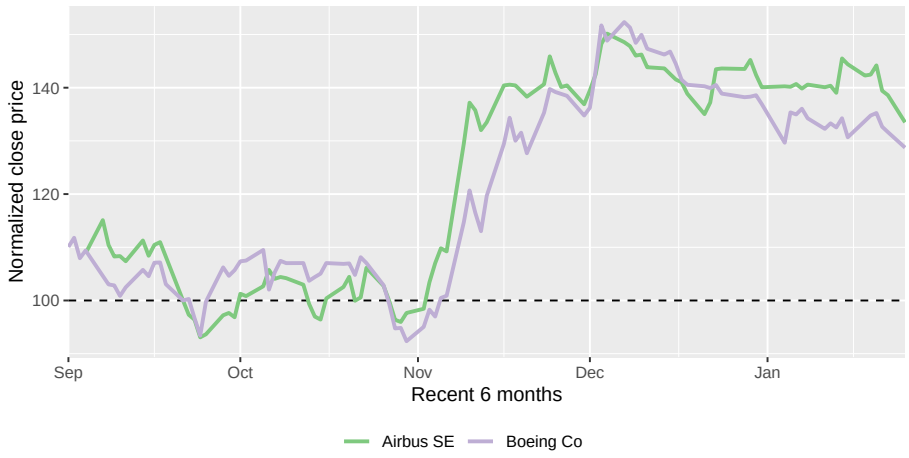

Figure 2.8: Aerospace/Defense

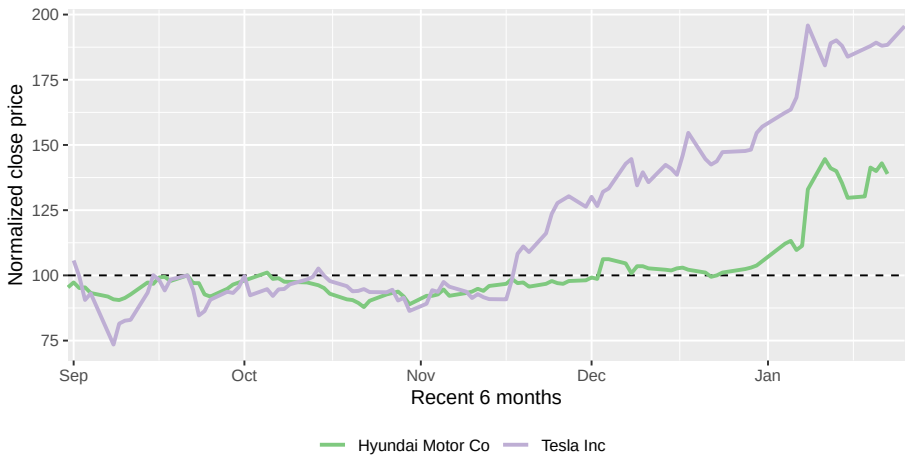

Figure 2.9: Auto and Truck

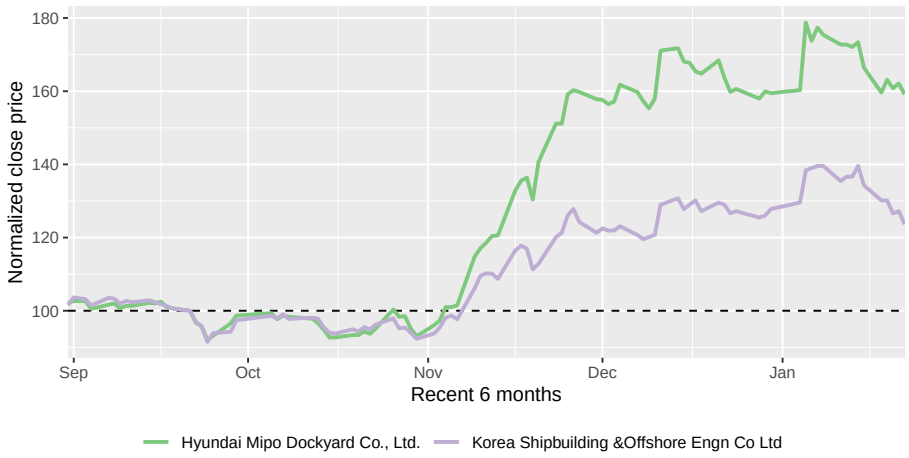

Figure 2.10: Construction Supplies

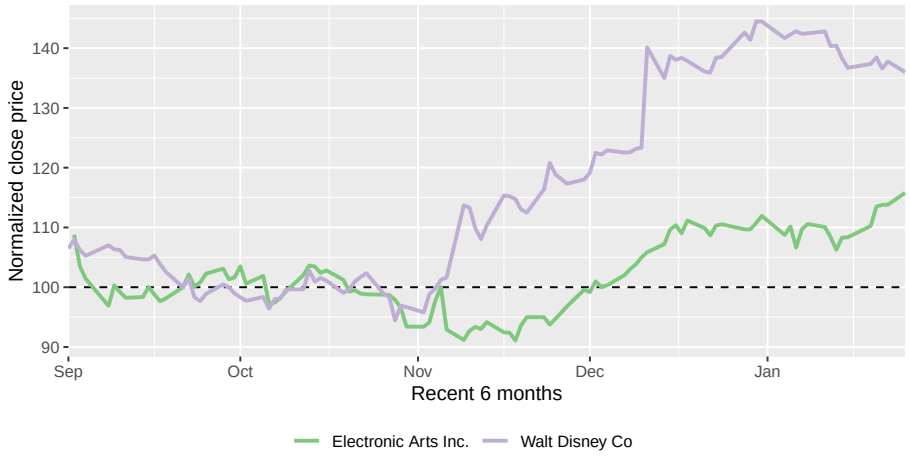

Figure 2.11: Entertainment

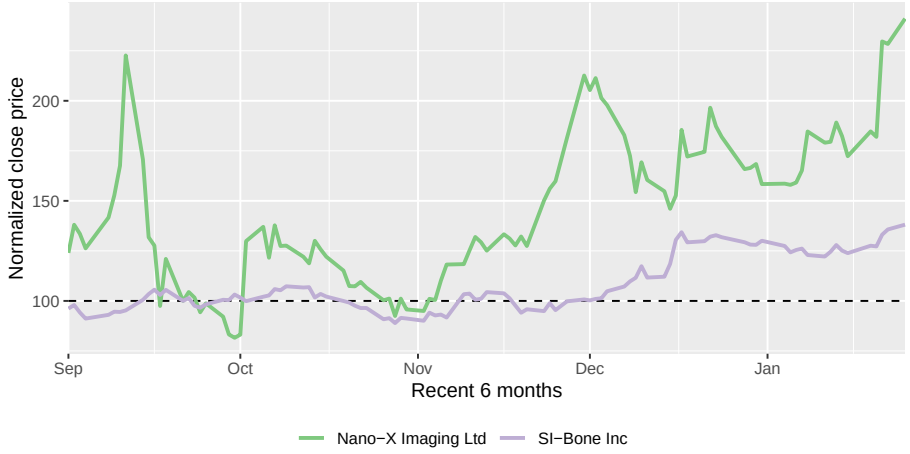

Figure 2.12: Healthcare Products

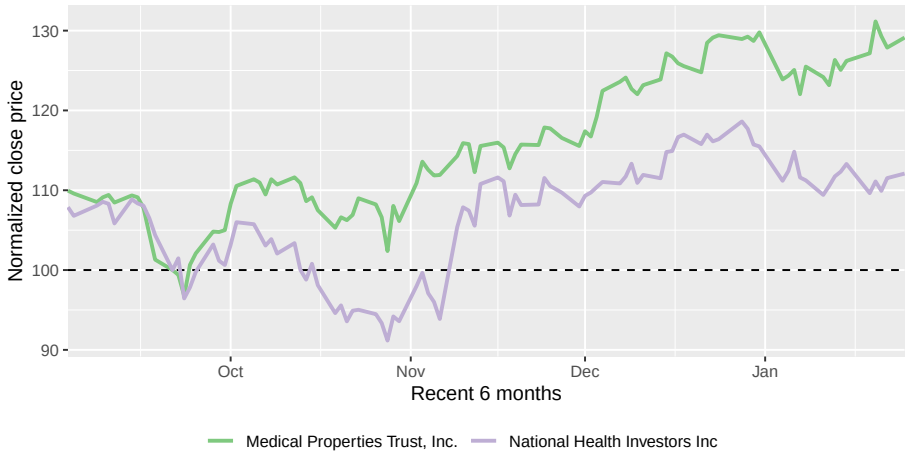

Figure 2.13: R.E.I.T.

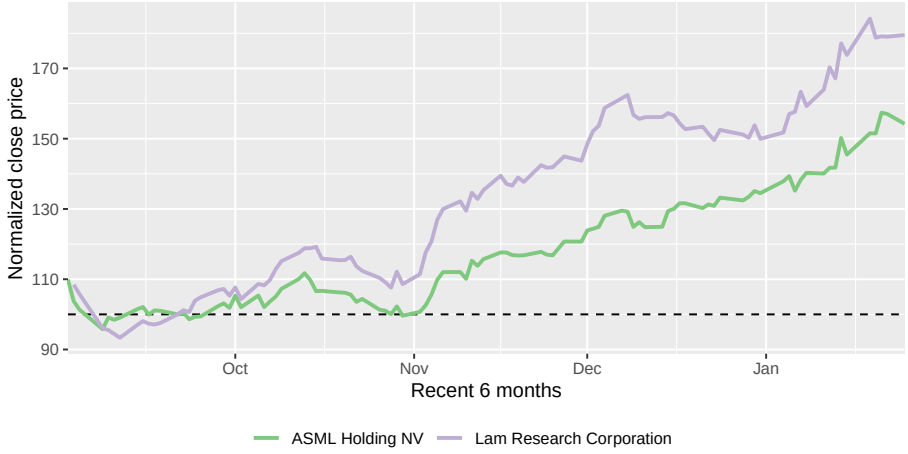

Figure 2.14: Semiconductor Equip

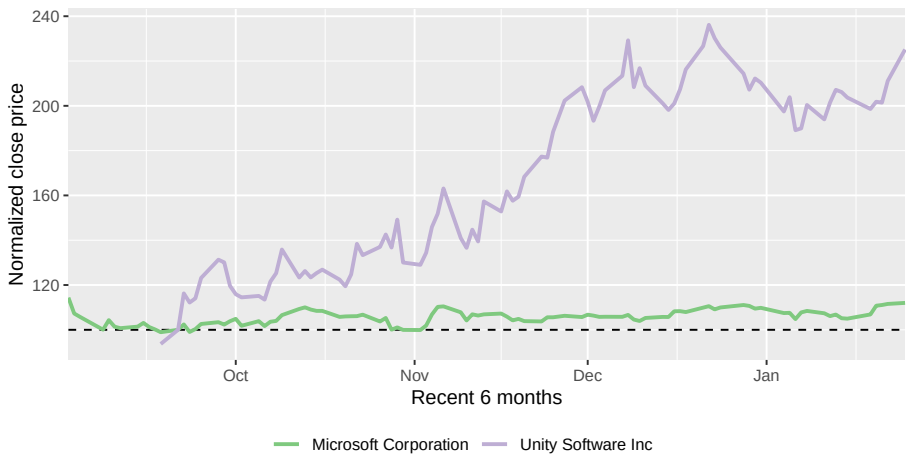

Figure 2.15: Software (System and Application)

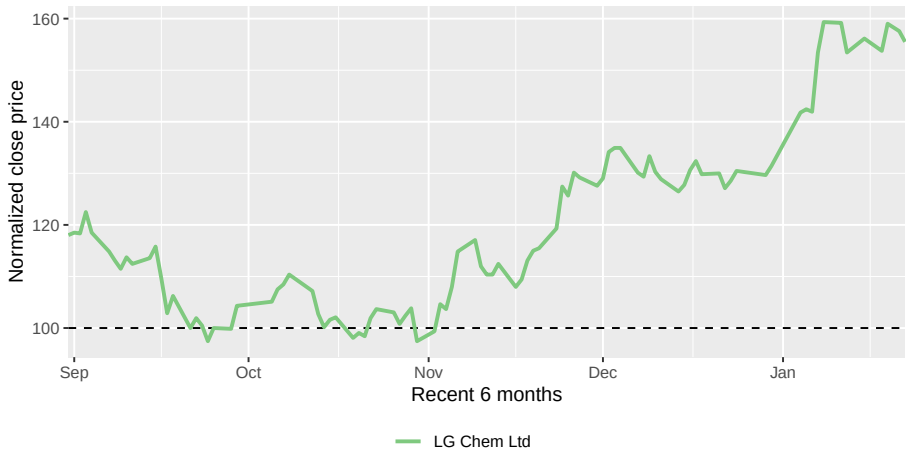

Figure 2.16: Chemical (Basic)

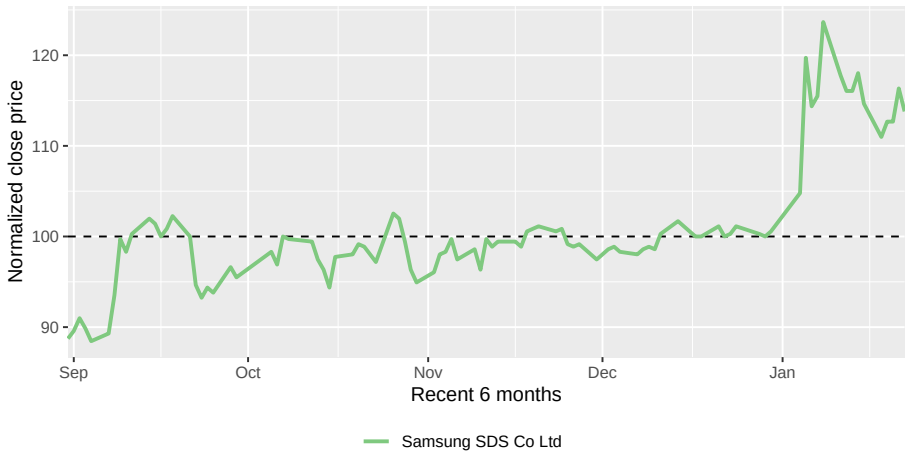

Figure 2.17: Computer Services

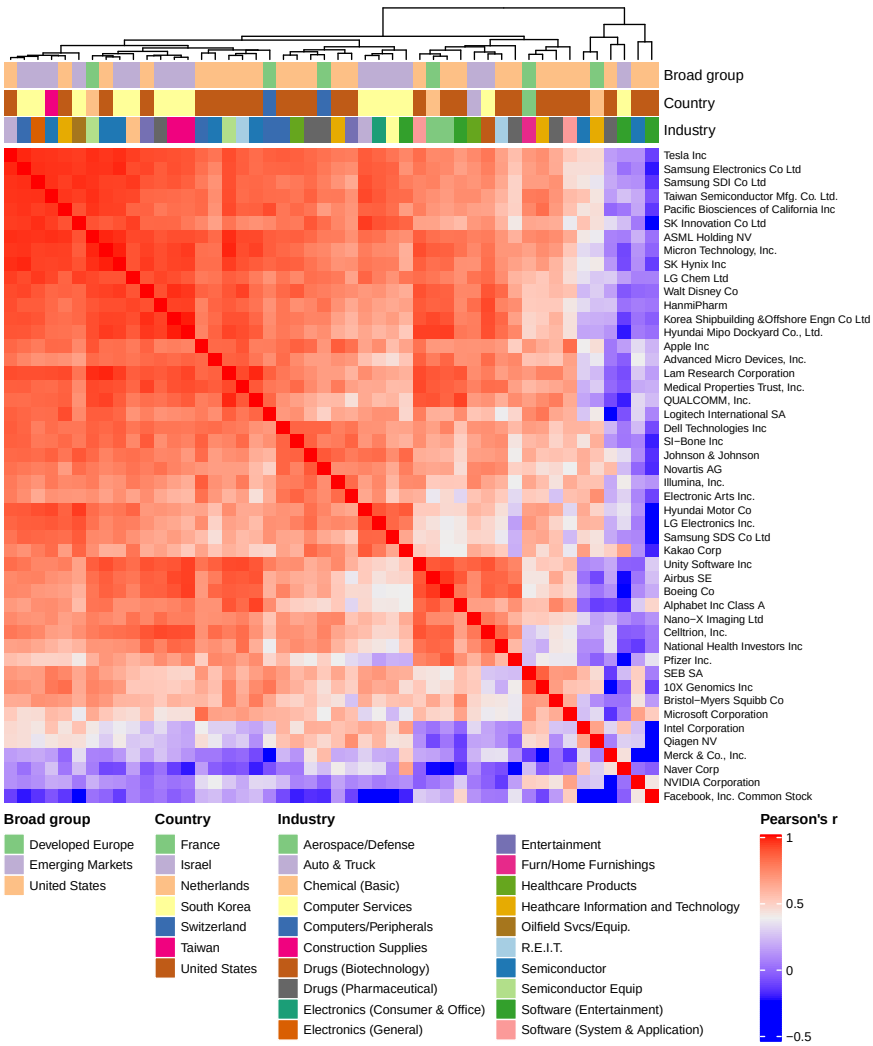

Figure 2.18: Pairwise correlation between closing prices over 6 months

Chapter 3

Sector evaluation[1]

3.1 PE ratio

3.2 Expected growth rate

3.3 PEG ratio

[1] Data are from here.

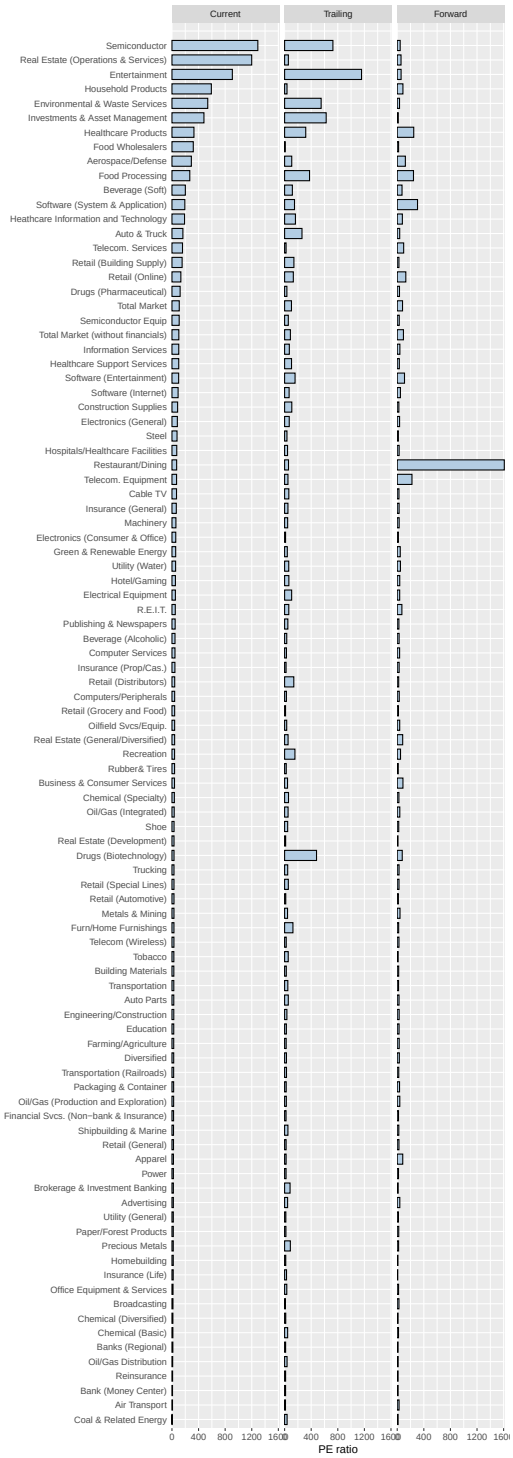

Figure 3.1: Current, trailing, and forward PE ratio by industry sector

Figure 3.2: Expected growth rate for the next 5 years by industry sector

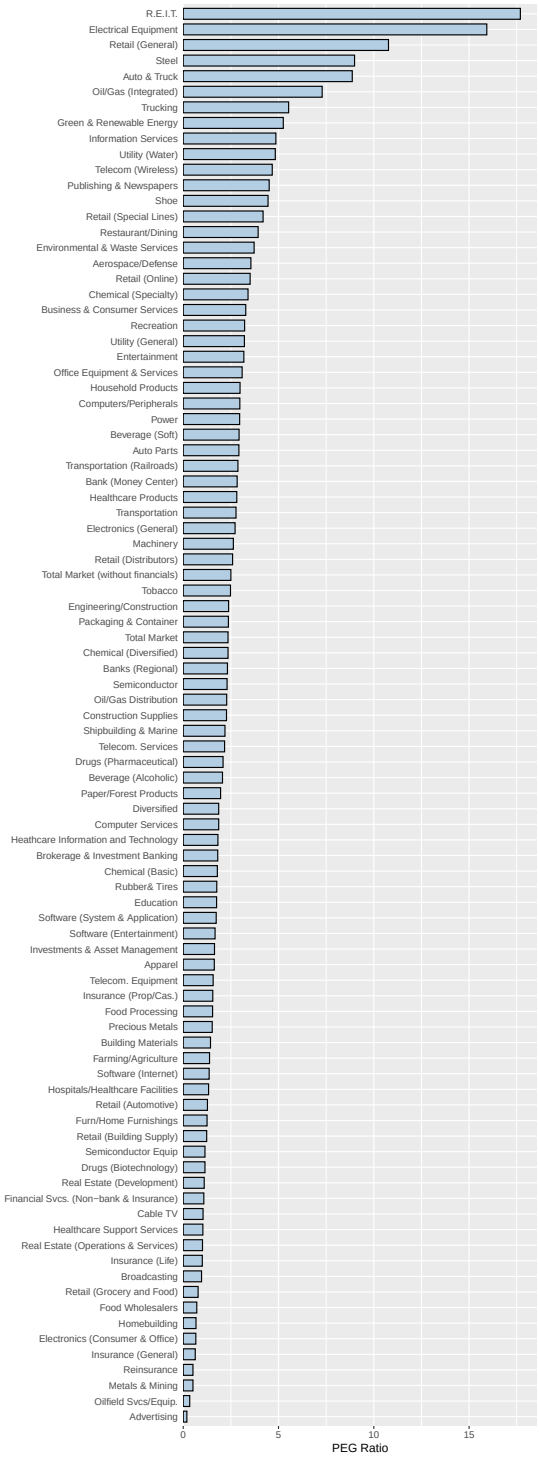

Figure 3.3: PEG ratio by industry sector

Chapter 4

Market evaluation[1]

4.1 GDP and Buffett indicator

Search:

Country	GDP ($Trillion)	Total Market/GDP Ratio (%)	Historical Min. (%)	Historical Max. (%)	Years of Data	Country ETF
USA	21.17	191.7	32.7	191.7	51	SPY
China	15.87	67.92	0.23	153.32	31	MCHI
Japan	5.45	190.02	54.38	361	37	EWJ
Germany	4.31	46.07	12.14	57.84	31	EWG
India	3.19	70.33	39.97	158.2	24	INDA
UK	3.09	96.44	47	201	49	EWU
France	3	86.86	52.5	183.03	31	EWQ
Italy	2.18	14.72	9.36	43.28	21	EWI
Canada	1.87	121.31	76.29	185.04	31	EWC
Korea	1.77	99.9	33.39	126.1	24	EWY
Australia	1.57	113.74	86.56	220.28	29	EWA
Spain	1.56	56.15	46.35	228.84	28	EWP
Russia	1.51	50.87	14.35	115.34	24	ERUS
Brazil	1.4	61.2	25.72	106.49	24	EWZ
Mexico	1.27	25.51	11.17	44.78	30	EWW
Indonesia	1.24	31.4	17.34	145.05	31	EIDO
Netherlands	1.01	105.28	46.95	230.21	29	EWN
Switzerland	0.82	296.85	77.48	397.77	31	EWL
Turkey	0.66	21.6	15.1	128.97	29	TUR
Sweden	0.62	166.28	27.53	192.09	31	EWD
Belgium	0.57	73.63	46.04	148.83	30	EWK
Hong Kong	0.39	1118.9	571.84	2363.31	31	EWH
Singapore	0.38	186.39	153.89	835.28	34	EWS

Showing 1 to 23 of 23 entries

[1] Source data and details can be found at Gurufocus.com.

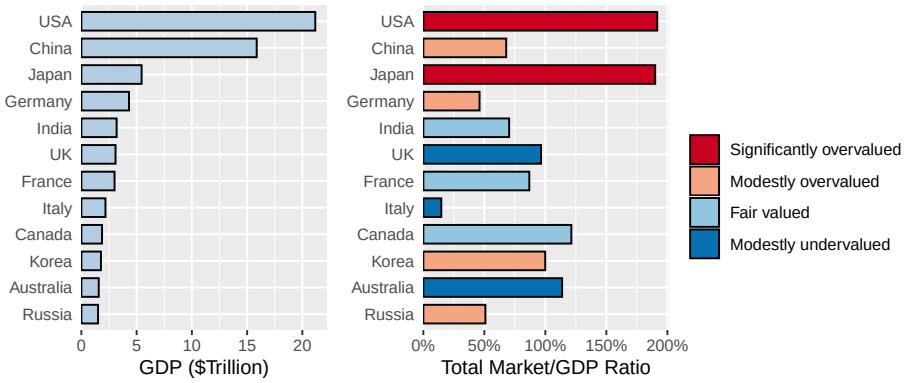

Figure 4.1: Market valuation for 12 major countries

4.2 Projected annual return

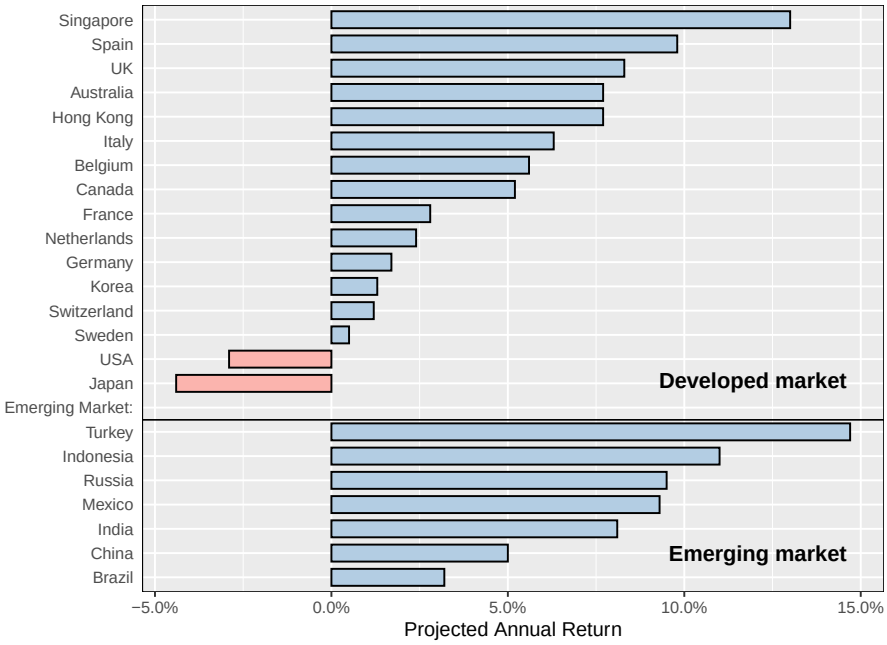

Figure 4.2: Projected future annual returns of the world's 18 largest stock markets, calculated using (1) future business growth estimates, (2) dividends, and (3) change in market valuation